Hitachi Rail

Solution Assessment and 2024 Review

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19/12/2024

High Level Summary

2024 CSM Topics

As agreed in April 2024 QBR

	Status	Next Steps in 2025
Expand Sourcing event coverage	4% Event Increase overall Direct RFQ module benefits for Hitachi Rail presented and demonstrated (not taken forward at this time)	Agree to actions with an aim to accelerate: - Increase % of RFQs awarded - Develop and launch new conditional templates - Increase template usage - Review workflow processes
JAGGAER Adopt	99 guides in production 7 guides to assist with completion of small and big profiles launched in Feb 2024 25,000 total guide views	Link Assist and Adopt for an overall buyer and supplier help strategy Target guides towards ePro, Sourcing+ and Contracts+ modules
Analytics	Support provided to replicate PowerBI dashboards in Jaggaer (Tableau)	Identify any further reporting needs
Product Releases and latest innovations	Reviews and support provided through 3 releases (24.1, 24.2, 24.3) 16 features with additional value identified and tracked	Continue to highlight release value Schedule specific sessions around future innovation in the portfolio and use of AI

2024 Key Achievements

By Hitachi Rail and using JAGGAER solutions

- **Contract Renewal for 4 years**
- **Honolulu (Contracts + and AI) go-live**
  - Expanding the footprint and using the latest AI technology to reduce risk and increase Contract visivility
- **Vendor Master Relaunch (w/Bearing Point partner)**
  - To improve the supplier onboarding experience
- **Contracts to Contracts+ Migration (inc. Docusign Integration)**
- **Buyer IDM and Supplier IDM activation**
  - To simplify the login experience and improve security across the buyer and supplier community
- **Launch of 99 JAGGAER Adopt guides**
  - Seen almost 25,000 times in 2024, bringing significant value for in-app assistance to buyers and suppliers and helping to bring together the JAGGAER solution

Direction for 2025

Suggestions and Recommendations from JAGGAER

- Further module expansion i.e. roll-out of eProcurement globally
- Expansion of Contracts+ to other regions
- Activation of the New Navigation module
- Continued collaboration between JAGGAER, Hitachi and Partners
- Increase Sourcing Award % in JAGGAER
- Build and relaunch sourcing templates using conditionality based on material groups
- Utilise Adopt Analytics to better analyse the user behaviours
- Build and launch JAGGAER Assist intents to serve common user help queries
- Keep informed on the JAGGAER releases and roadmap to ensure the latest innovations and understood and implemented

Key Supplier Experience Issues

The following are key supplier experience issues (primarily Supplier IDM), identified in Q3 2023 which have been resolved during the 2024 product release cycle:

Issue	Fix Release
Supplier Reg Form issue with MS Edge	24.1
Password change screen – onward navigation	24.3
Confusing incorrect e-mail or password message	24.1
OTP provider screen improvements/clarity	24.1
Supplier deletion in Direct to trigger upstream deletion	24.1
Direct to Upstream Supplier Link (and vice versa)	April 2024
Supplier IDM additional languages (Japanese, Chinese etc.)	24.2

What’s Working and Areas for Improvement

What’s Working

- ROI from the Sourcing+ module is very high and Hitachi is performing higher than industry standards in most aspects
- Hitachi are working well above industry standards for volume of contracts created and average cycle times (3.2 days)
- Adopt Premium guides are being viewed and used by over 200 users per month, with total views over 2024 almost 25,000

Areas for Improvement

- Invest time in building JAGGAER Assist intents to cover JD and other modules to solve common user queries
  - JAGGAER to follow up on JD support for suggestion “chips” on responses and links to external resources
- Rebuild Sourcing templates to use conditionality which add mandatory and frequent questions to address specific material group and ESG requirements
- Expand the ePro module to be used by more regions and by adding additional catalogs
  - To ease the buying experience and track common spend

Adoption Analysis

Adoption Review - Module Coverage

Module	Included/Excluded	Notes
Sourcing+	Included	
Contracts	Included	
ePro	Included	ePro analysis is based on the partial rollout of the module. Currently, information is limited.
Contracts+	Included	
JAGGAER Adopt	Included	

Sourcing+

Last 12 months

Key Measures

RFx creation trend	Average
Adoption	High Performing
Sourcing Event Award %	Low Performing

Observations

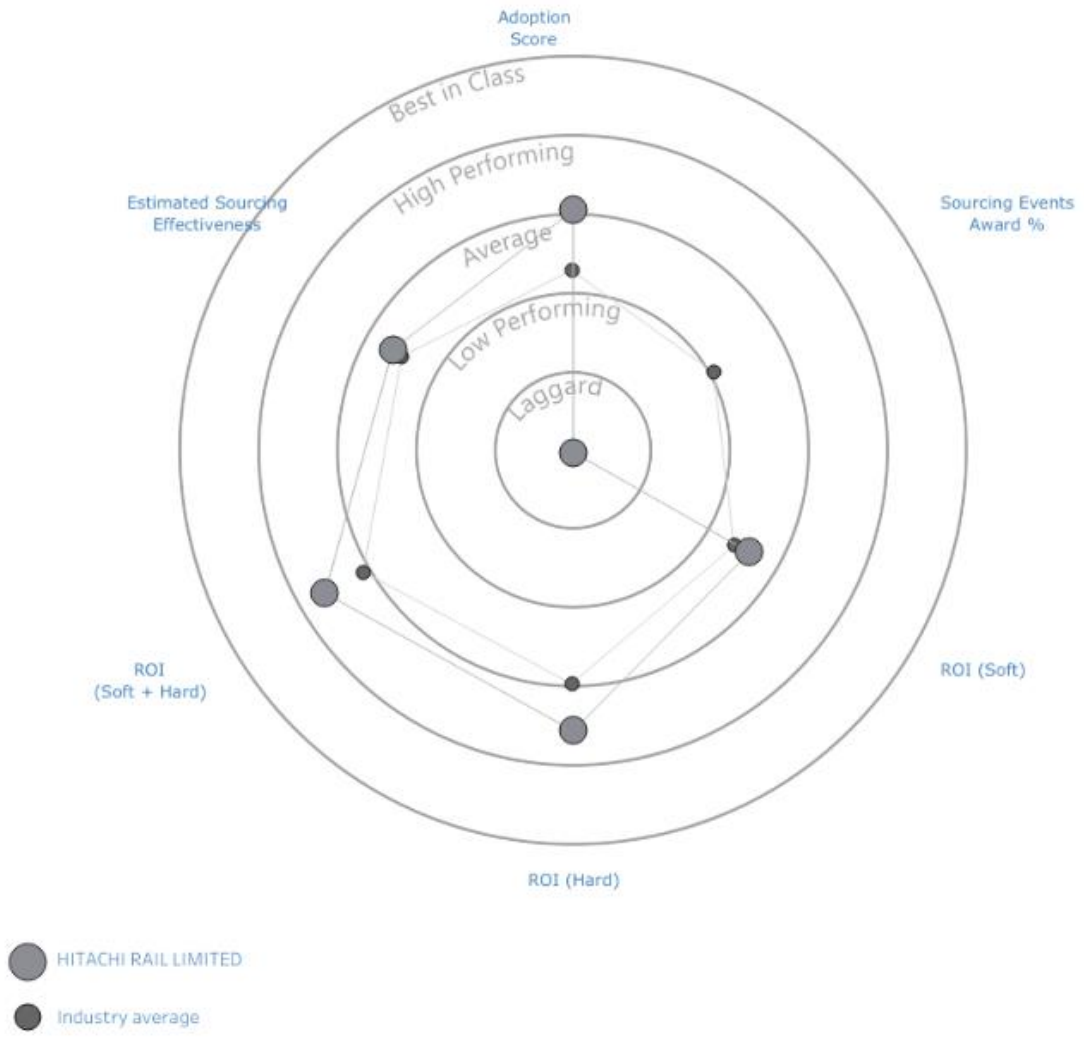
- Sourcing activity has remained steady with a small 4% increase predicted in 2024 over 2023
- Awarding is not accurately recorded in the system and most events are in status “final evaluation”

Top categories of sourcing activities:

Category Level 1	Hitachi Rail STS S.p.A. (Italy)	Hitachi Rail Limited (UK)	Hitachi Rail STS USA, Inc	Hitachi Rail STS Canada Inc
Unclassified	329	20	6	2
EEC - Electromechanical/Electri..	3	1	3	
LOG - Logistics	5			
VLW - Vehicles (Locomotive, Wa..	5			
MEC - Metallic Components			4	
REF - Real Estate & Facility Man..	1	2		
VES - Vehicle Systems			3	
COS - Corporate Services	1	1		
FAS - Forged And Stamped	2			
OSM - Operational Services And..	1	1		

Rfx from Scratch From Template... From Rfx

Compass Report – Sourcing+



Observations:

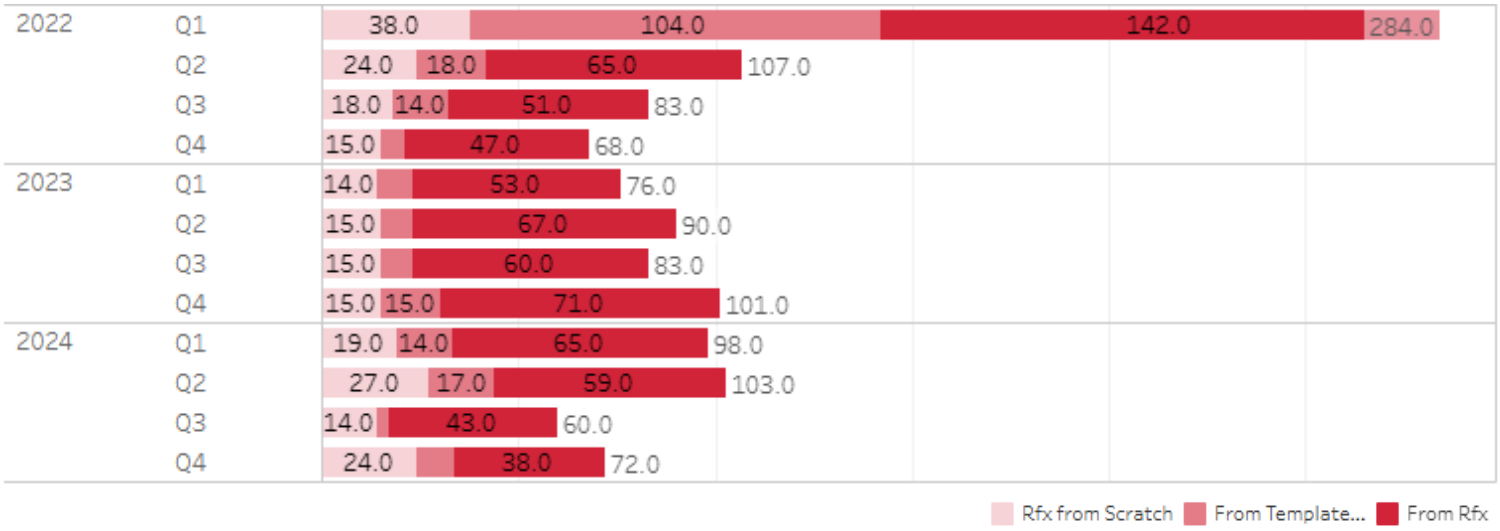
- Hitachi Rail has **higher solution adoption** than other customers in the transportation and warehousing sector and is at a high performing level
- Sourcing events are not awarded, which is below the industry benchmark and can drive compliance and reporting
- Hitachi Rail is higher than the industry benchmark for ROI for their solution (both Soft and Hard aspects)
- Estimated sourcing effectiveness is higher than the benchmark but average and can be further improved
- **Overall, it is estimated that Hitachi Rail is obtaining an 89.1x ROI on their sourcing solution**

High-level summary of metrics used:

- **Adoption Score –** Calculation based on actual number of events and estimated avg. event size by Industry, ARR
- **Award % -** Number of events awarded
- **Estimated Sourcing Effectiveness –** Calculation based on actual number of events, estimated avg. event size by Industry and Sourcing Goal (based on % of Addressable spend)
- **ROI (Soft)** – calculation based on process savings vs. ARR
- **ROI (Hard)** – conservative estimation based on industry knowledge

Sourcing+: Quarterly volume of ITT/PQQs Created

2022 – Q4 2024



Observations

- Overall trend is a steady volume of events in 2024 with a small 4% increase predicted YoY over 2023

Overall usage (creation of events) is trending positive YoY

- **350** ITT/PQQs created in 2023 and **333** in 2024 (to end Nov)
- **- 35%** ITT/PQQs created 2022 – 2023
- **+ 4%** ITT/PQQs created 2023 – 2024 (predicted)

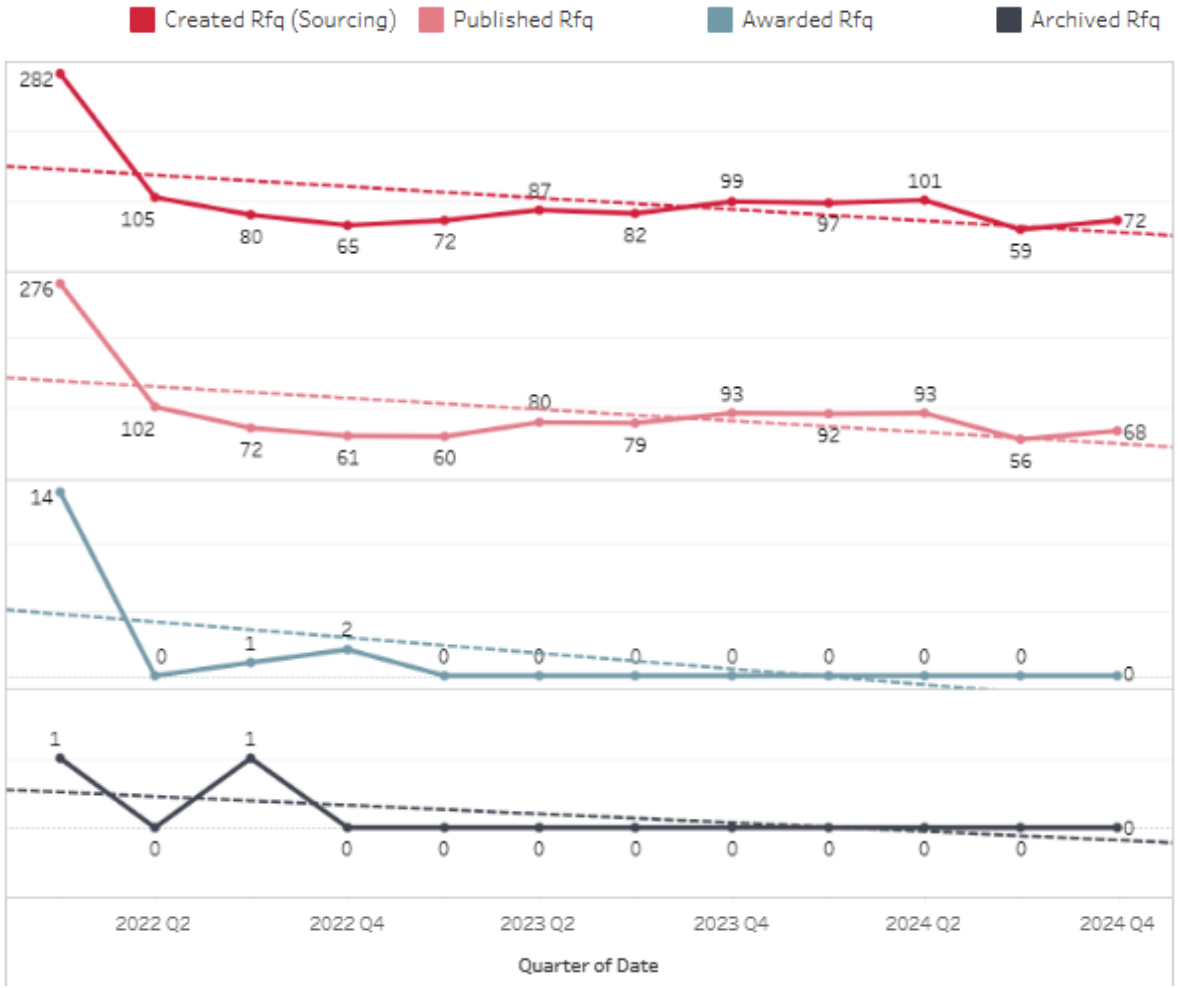
Sourcing+ : ITT Status Split

2022 – Q4 2024

- **~ 2%** of published ITTs awarded in the system in 2022 on average
- However, in 2023/2024, this has dropped to 0%, Q: why is awarding not happening in the solution?

Observations

- 969 ITTs are in a “Final Evaluation” status, meaning they are not awarded in the platform
- Look to increase awarding %, even when awarding is done offline to accurately record and report the decision in the platform and ensure compliance



Sourcing+ - Awarding

Key Benefits of Awarding RFQs in JAGGAER

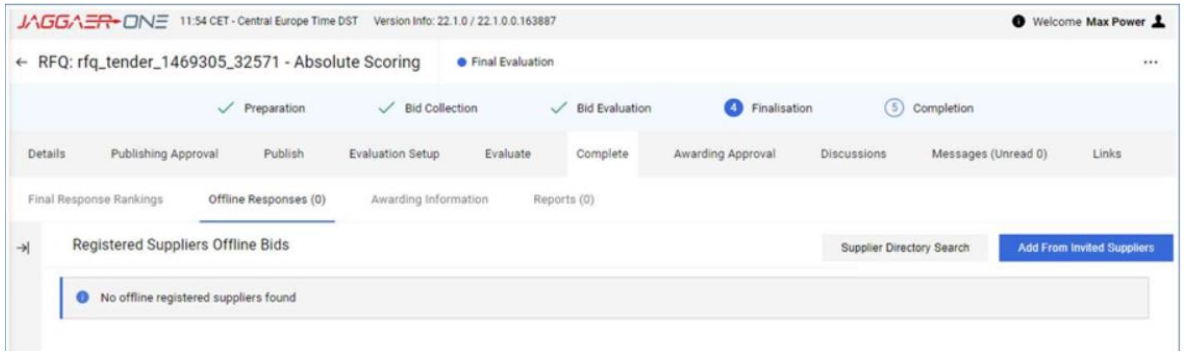
- Compliance – The only way to ensure that your organisation follows an approval process. This can include reducing maverick spend and ensuring that a certain percentage of the operating budget is spend on sourcing. Likewise, it facilitates internal and external audits
- Automation and digitisation – To reduce the workload and improve efficiency you can bundle many of your needs and solutions in the Sourcing+ module. You won't be needing a separate data storage, e-mail and IM communication, reminders. This way you have everything in one place

- System Recommendations – As we move forward with AI in sourcing you can make the first steps by utilising advanced features like automatic awarding proposals and supplier statuses. You can expect a decrease in errors due to human interactions
- Analytics and Reporting – If you need to report, externally or internally, on RFQ awarding you will be able to utilise reports within the platform, use Tableau for monitoring, reporting and analytics

Sourcing+ - Awarding

Offline Awarding Enhancements added in 23.1

- **Challenge – Suppliers are not able to collaborate with the system for a variety of reasons, but to ensure traceability, awarding should still be done within JAGGAER**
- Solution – Provide the ability to easily choose invited suppliers, registered suppliers and/or unregistered suppliers and provide their response into the platform
- **Value – Ensure compliance, further reporting and analysis, process clarity and transparency**

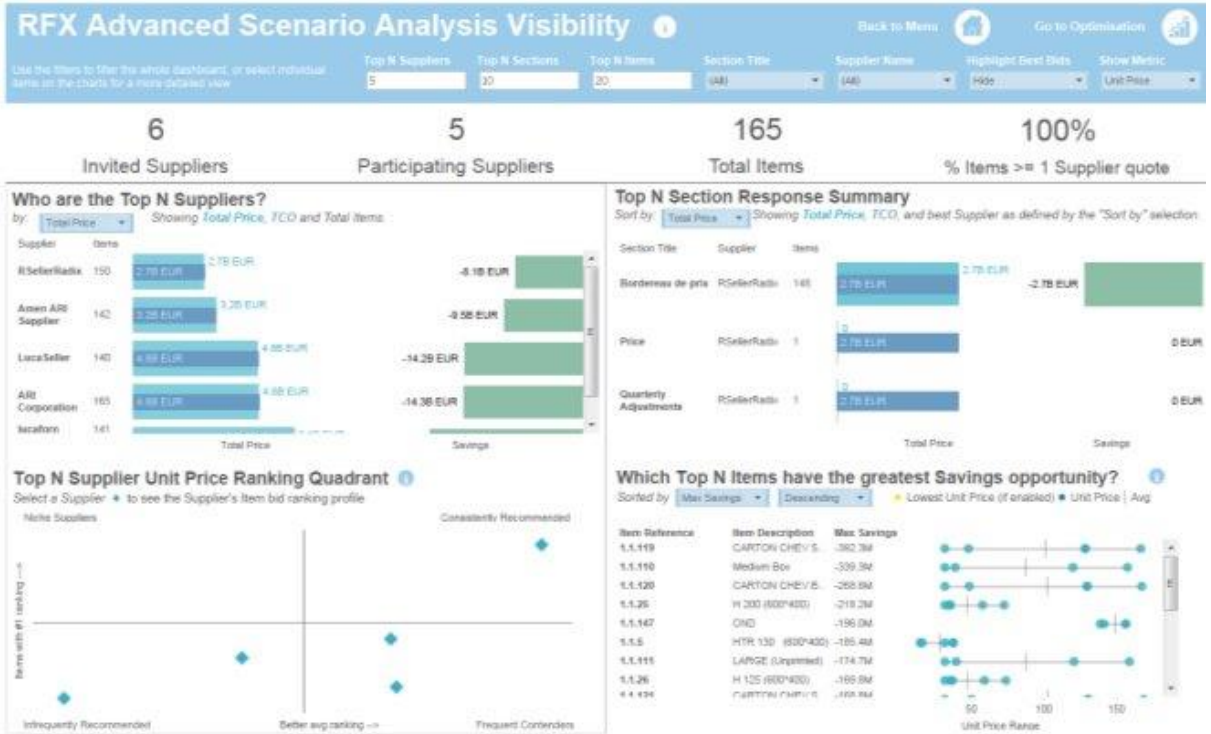


Sourcing+ - Awarding

Advanced Scenario Analysis

- **An analysis tool to facilitate and visualise the evaluation of the RFQ.**
- **The dashboards provide data in real-time and focus on the supplier's commercial response**
  - Answer the most common questions for the buyer
  - Gives new aspects that are interesting to consider
  - Compare item prices across suppliers

- **Please raise this with JAGGAER if you'd like to see this functionality turned on**



Contracts

Last 12 months

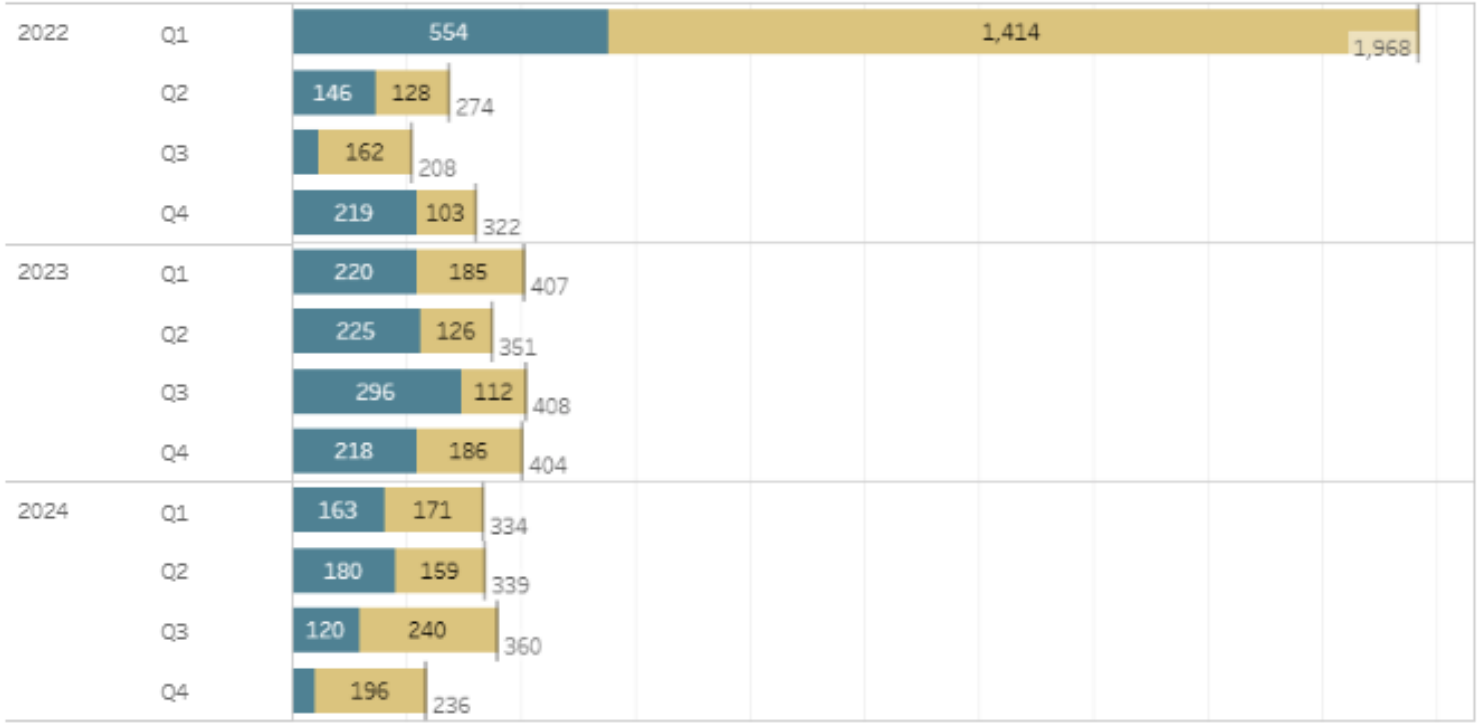
Key Measures	
Contract creation trend	Average
Digital Signature usage	Above Average
MCD usage	Above Average
Adoption	Above Average

Observations

- Sourcing activity has remained steady with a small 4% increase predicted in 2024 over 2023
- Awarding is not accurately recorded in the system and most events are in status “final evaluation”

Contracts: Quarterly volume of Contracts Created

2022 – Q4 2024

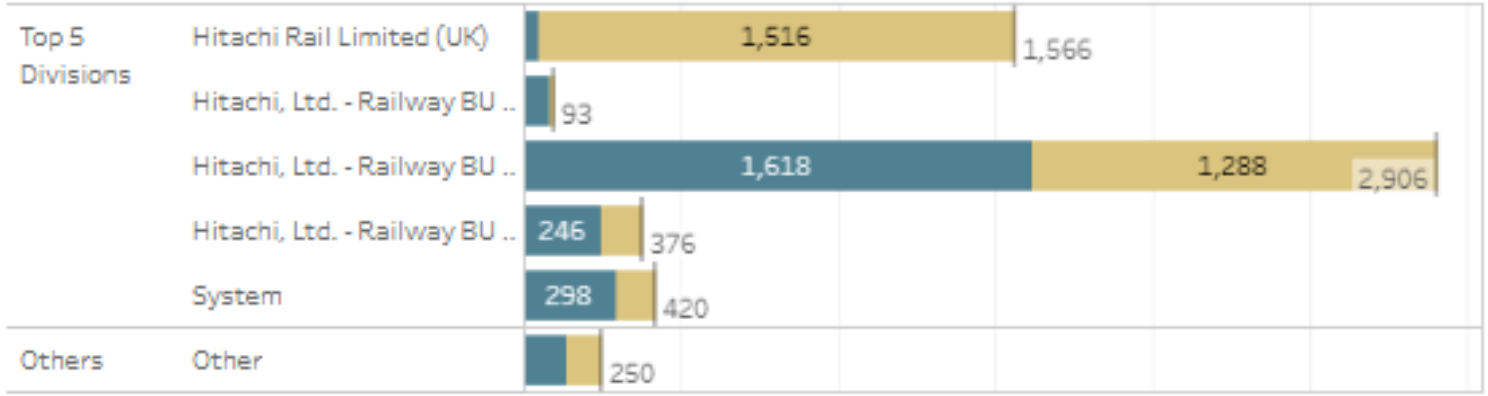


Observations

- Overall volume created of new contracts in 2024 is consistent and a small decrease on 2023 is expected due to the Contracts+ migration
- There has been a 26% increase of contracts created from scratch in 2024 over 2023

Contracts: Contracts by Division

2022 – Q4 2024

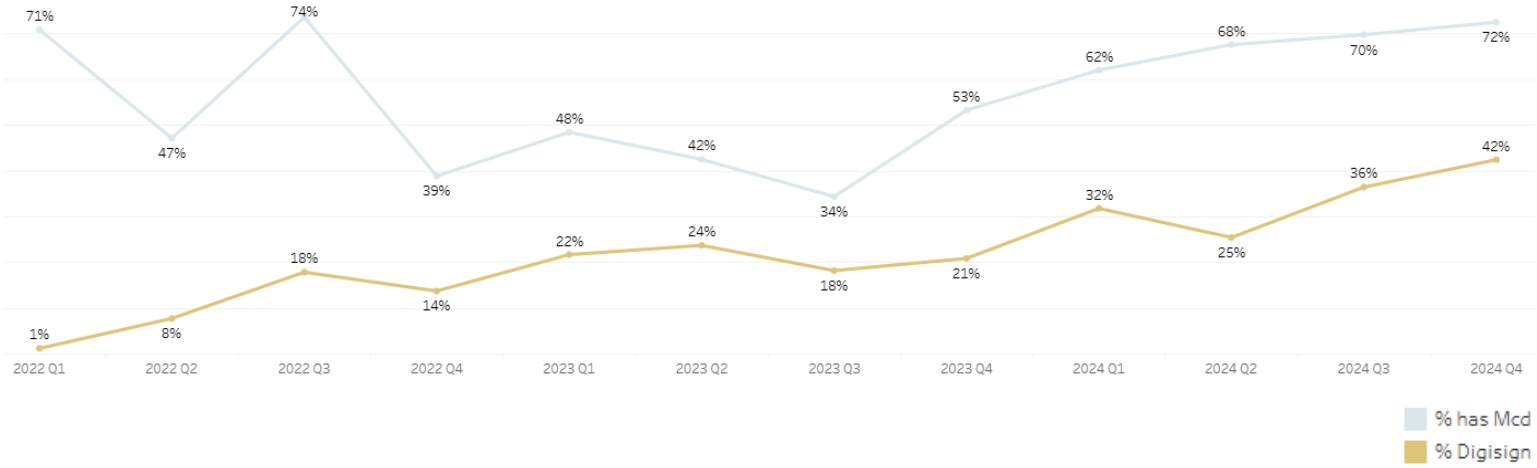


Observations

- Top divisions creating contracts are Hitachi Ltd – Railway BU (Japan) and Hitachi Limited (UK)

Contracts: MCD and Digital Sig Usage

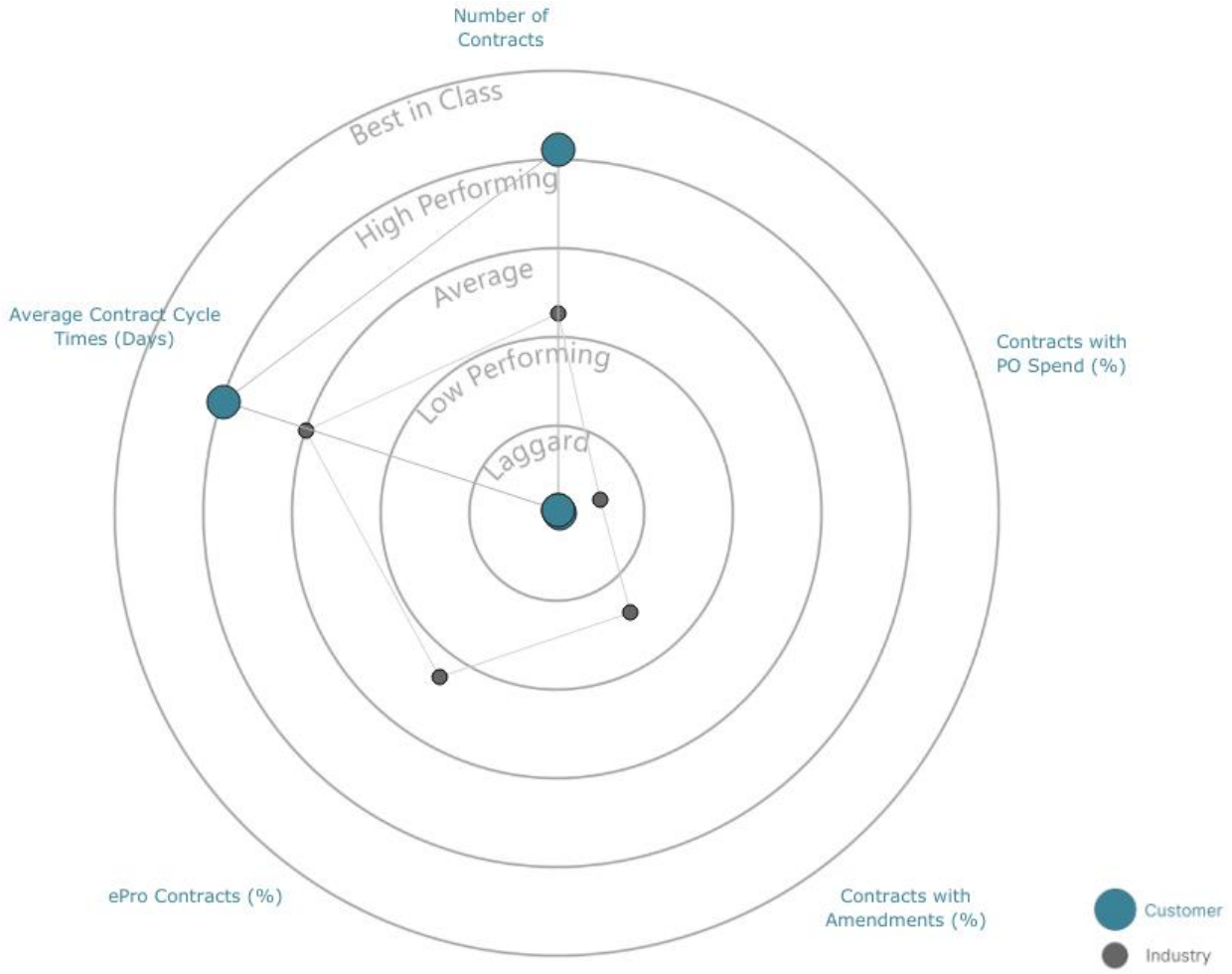
2022 – Q4 2024



Observations

- The use of Master Contract Document (MCD) and Digital Signature (Docusign) has increased from 48% and 22% of contracts respectively in 2023 to 72% and 42% of contracts in 2024
- This represents an increase of 50% and 91%
- There is still an opportunity to increase Digital Signature further
- This will increase compliance, reduce time spent distributing contract documentation and promote efficiency

Compass Report – Contracts+



Observations:

- Hitachi Rail are **best in class** than other customers in the transportation and warehousing sector in terms of number of contracts in the solution
- Average contract cycle of 3.2 days is above the industry benchmark of 3.97 days
- Hitachi Rail should look to integrate contract amendments into their process, currently only 0.1% of contracts
- ePro should be used to link PO spend back to Contract spend which is currently at 0%

High-level summary of metrics used:

- **Average Cycle Time –** Average days from created date to workflow complete date
- **ePro Contracts (%) –** Percentage of created contracts marked as ePro relevant
- **Percent of ePro Contracts with PO Spend (%) –** Percentage of contracts marked as ePro relavent which also have PO spend

Note: Contracts+ is not fully adopted so the figures represent current usage

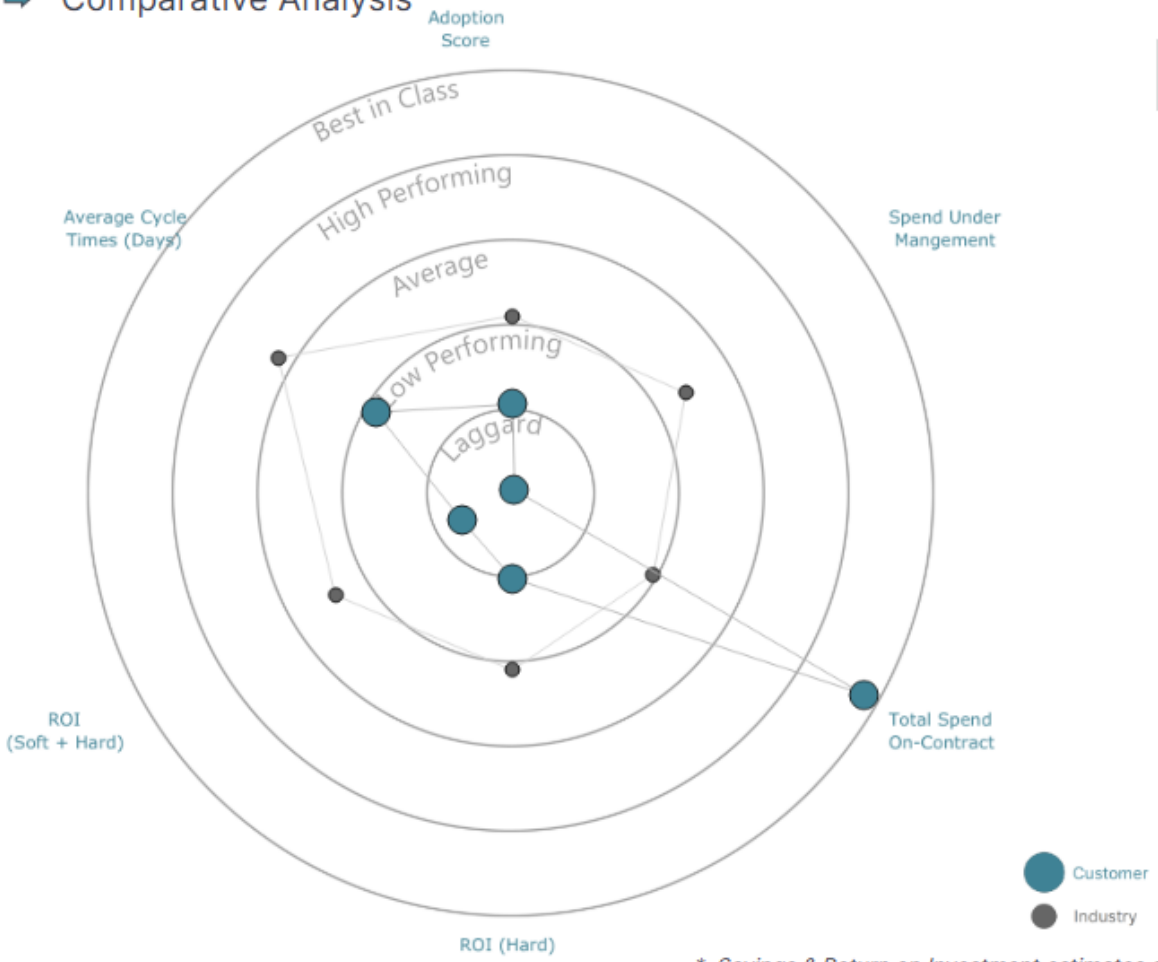
Operational Performance Review – eProcurement

December 2023 - November 2024 | Comparing to: All customers

ESTIMATED ePROCUREMENT SAVINGS*

Grand Total	Savings (Soft)	Savings (Hard)
$0.18M (100.00%)	$0.10M (54.49%)	$0.08M (45.51%)

Comparative Analysis



Key Performance Indicators

KPI	Status
Total Spend On-Contract	Best In Class
Average Cycle Time (Days)	Low Performing
ROI (Hard)	Low Performing
Adoption Score	Low Performing
ROI (Soft + Hard)	Laggard
Spend Under Mangement	Laggard

Observations

- Spend on contract is much higher than the industry standard (93%) – there is a significant opportunity to roll-out and fully adopt ePro and increase spend visibility through matching spend back to contract
- This will bring significant savings both in terms of soft and hard metrics
- Currently $200,000 of savings from the module usage

** Savings & Return on Investment estimates are based on industry standards and/or your customized standards if established.*
*** eProcurement cycle time includes create to workflow end.*

Operational Performance Overview – Direct Supplier Management

	Status at Nov 2023	Status at Jan 2024	Status at April 2024	Status at December 2024
0 - No logindata requested	190	194	221	232
0 - Not invited	18008	17979	17834	8204
1 - Checking company base data	292	335	391	382
1 - No logindata requested	312	336	366	383
2 - Checking contact people	64	59	64	58
3 - Checking categories	27	32	40	41
4 - Filling supplier profile (big)		14	12	9
4 - Filling supplier profile (small)	107	105	116	118
5 - Filling supplier profile (small)	14	15	17	15
6 - Filling supplier profile (big)	271	297	406	395
6 - Waiting for approval	136	161	187	89
7 - Filling supplier profile (big)	6	4	12	17
8 - Waiting for approval	157	152	212	186
9 - Registration finished	397	555	808	1291
Grand Total	**19981**	**20238**	**20686**	**11421**

Key Measures

Onboarding Progress	**Average**

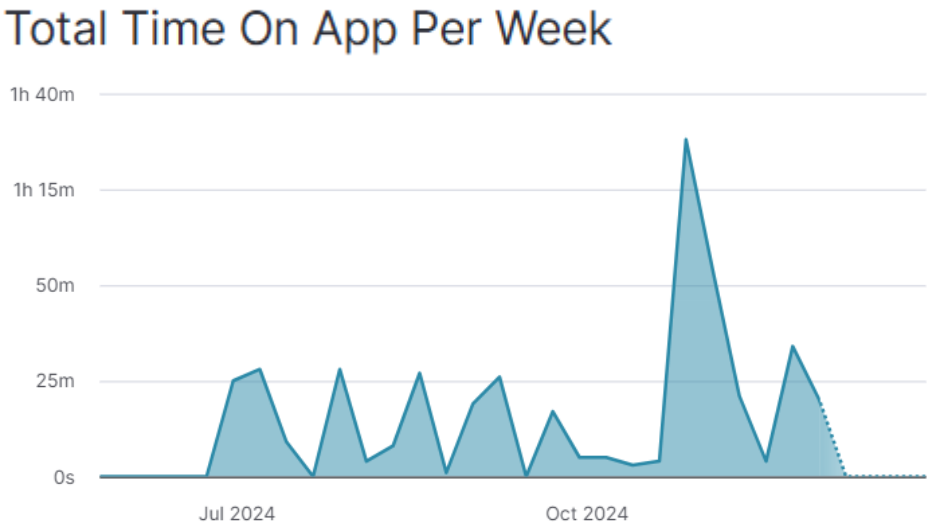
Observations

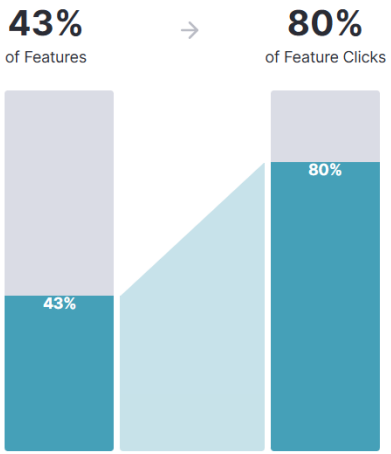
- 11% (up from 5%) of suppliers are fully onboarded
- 15% (up from 9%) of suppliers are in the registration process
- 72% (down from 86%) of suppliers are not invited to register, who exist in SAP
- Suppliers need support in the various stages of registration to complete their profile data, this has been enabled through Adopt guides
- Hitachi will relaunch their onboarding processes

JAGGAER Adopt

For the premium user interface:

- 4 avg. monthly users, medium frequency users accessing between 5-12 days a month
- Average of 1 hour per week on app, spike in early Nov up to 1.5 hrs
- Most common pages are the **guide overview**, **metrics and settings** and the **portfolio overview**
- 43% of features make up 80% of feature clicks
- **Under-used features with potential to add value –** Visitor details (analytics), Workflows (advanced user behaviour analysis)





Top 43% (3 of 7 Features)

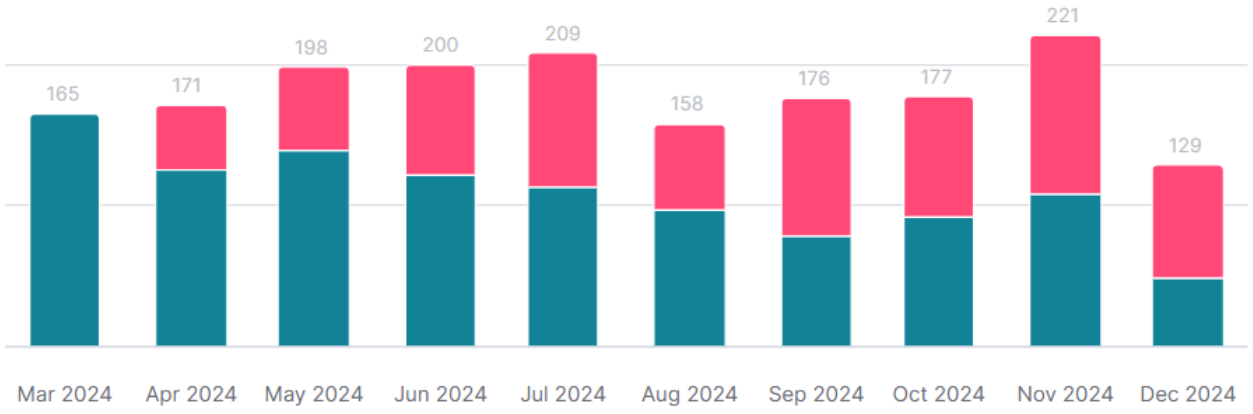
Feature	Product Area	% of Feature Clicks
Reseller Adopt | Segments | Create Segment	No Product Area	42.9%
Reseller Adopt | Sitewide Download CSV Button	No Product Area	28.6%
Reseller Adopt | Workflows | Create New Workflow	No Product Area	14.3%

JAGGAER Adopt

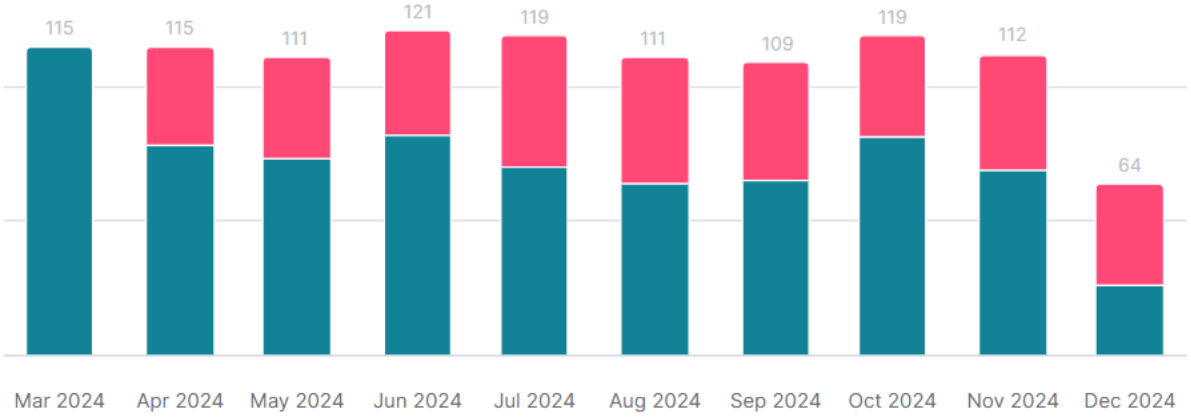
Guides

- 99 guides in Production
- Total of 24,279 views across all guides
- Most frequent guides seen over 3000 times
- Guide views remain high amongst new and repeat users

Nav JA to JD:



Big Profile Guide



First Time Visitors | Repeat Visitors

2025 Roadmap Highlights

JAGGAER One Catalyze: Key Themes

The following are some of the key areas of enhancement that drive JAGGAER's roadmap:

Consistent, Easy, and Unified

- Common capabilities that drive easy management, intuitive adoption, and faster onboarding of all users
- A single approach for user identity creation and management across the JAGGAER suite

Extensibility

- Deliver an open platform for customers and 3rd parties to develop innovative extensions to JAGGAER's core capabilities
- Support multiple integrations patterns - RESTful, event PUSH, and webhooks – for added flexibility

Seamless Business Process Management

- Define business processes, execute customer-specific workflows, and manage exception thresholds & business rulesets - quickly and seamlessly

Supportability & Compliance

- Deliver capabilities for long-term maintainability, durability, and upgradeability of solutions
- Security, scale, supportability, compliance

Intelligence: Roadmap

Recently Delivered

JAGGAER Assist

- Upstream: Enhance context detection capabilities to improve response relevance

Coming in 25.1

JAGGAER Assist

- Upstream: Ability to make the assist icon movable

Candidates for 25.2/25.3

JAGGAER Assist

- Upstream: Third-Party integration with external tools (Teams/Slack/ServiceNow) for improve collaboration
- Upstream: Ability for chatbot to perform end-to-end tasks for better assistance

Future Direction

JAGGAER Assist

- 'Assist 2.0' - Augment assist intelligence with Gen AI to provide better assistance
- Assist – Enhance and improve supplier onboarding